



ADMAS UNIVERSITY MEKANISA CAMPUS FACULTY OF BUSINESS DEPARTMENT OF ACCOUNTING AND FINANCE



MODEL EXAM –VI CODE MK-006

- ❖ This model Exam booklet contains **100** Multiple Choice Questions in five thematic areas (parts), as the detail shown below.

DISTRIBUTIONS OF QUESTIONS		
THEMATIC AREAS	COURSES INCLUDED	NUMBER OF QUESTIONS
1. FINANCIAL ACCOUNTING AND REPORTING	<i>Fundamentals of Accounting I</i>	8
	<i>Fundamentals of Accounting II</i>	8
	<i>Intermediate Financial Accounting I</i>	8
	<i>Intermediate Financial Accounting II</i>	7
	<i>Advanced Financial Accounting I</i>	6
	<i>Advanced Financial Accounting II</i>	6
SUB TOTAL		43
2. COST AND MANAGERIAL ACCOUNTING	<i>Cost & Management Accounting I</i>	6
	<i>Cost & Management Accounting II</i>	6
SUB TOTAL		12
3. FINANCE AND INVESTMENT	<i>Financial management I</i>	6
	<i>Financial management II</i>	6
	<i>Financial Institution and Market</i>	7
SUB TOTAL		19
4. AUDITING AND ASSURANCE SERVICES	<i>Auditing Principles & Practices I</i>	6
	<i>Auditing Principles & Practices II</i>	6
SUB TOTAL		12
5. PUBLIC FINANCE AND PUBLIC SECTOR ACCOUNTING	<i>Public Finance and Taxation</i>	6
	<i>Accounting for public Sector & civil societies</i>	8
SUB TOTAL		14
GRAND TOTAL		100

Part I: Financial Accounting and Reporting 43 Multiple Choice Questions

Instruction: This part includes 43 multiple choice questions and you are required to Choose the best answer from the given alternatives.

1. Which one of the following is **not correct** about basic accounting equation?
 - A. $\text{Asset} = \text{capital} + \text{liability}$
 - B. $\text{Asset} = \text{liability} + \text{capital}$
 - C. $\text{Liability} = \text{Asset} - \text{capital}$
 - D. $\text{Capital} = \text{Asset} - \text{liability}$
2. Only those things that can be expressed in money are included in the accounting records” Which of the following accounting assumption matched with the above statement?
 - A. Business entity Assumption
 - B. Going concern Assumption
 - C. Time period Assumption
 - D. Monetary unit Assumption
3. Assume the revenue of XY company during period is birr 45,000 and its Expense is birr 37,500. The owner withdrawals are birr 10,000, then what is the amount of net income or net loss of the company?
 - A. Birr 45,000 net income
 - B. Birr 37,500 net loss
 - C. Birr 7,500 net income
 - D. Birr 2,500 net loss
4. Cash sales of merchandise are recorded in the:
 - A. Cash payments journal.
 - B. Cash receipts journal.
 - C. General journal.
 - D. sales journal
5. Which of the following is the correct accounting under GAAP for cash?
 - A. Cash cannot be combined with cash equivalents.
 - B. Restricted cash funds may be reported as a current or non-current asset depending on the circumstances.
 - C. Restricted cash funds cannot be reported as a current asset.

- D. Cash on hand is not reported on the balance sheet as Cash.
6. Under GAAP, receivables are reported on the balance sheet at:
- A. Amortized cost.
 - B. Amortized cost adjusted for estimated loss provisions.
 - C. Historical cost.
 - D. replacement cost
7. The reconciling item in a bank reconciliation that will result in an adjusting entry by the bank statement is:
- A. Outstanding checks
 - B. A depositor errors
 - C. NSF
 - D. Bank service charge
8. A plant asset with a cost of 900,000 and accumulated depreciation of \$800,000 is sold for \$80,000. What is the amount of the gain or loss on disposal of the plant asset?
- A. Birr20, 000 losses.
 - B. Birr 80,000 gain.
 - C. Birr80, 000 losses.
 - D. Birr 20,000 gain
9. The term applied to the periodic expiration of an intangible asset cost is
- A. Amortization.
 - B. Depreciation
 - C. Depletion.
 - D. Cost expiration
10. Which of the following refers to the length of time covered by each payroll payment in the company.
- A. Pay day
 - B. Payroll Register
 - C. Pay period
 - D. Pay Check
11. Of the following types of allowance, one is **exempted** from tax.
- A. Position allowance
 - B. House allowance
 - C. Hardship allowance

D. Transportation allowance more than 25% of basic salary

12. Which one of the following is not correct about corporation?

- A. Unlimited life
- B. Separate legal existence
- C. Unlimited liability
- D. limited liability

13. Lee and Stills are partners who share income in the ratio of 2:1 and who have capital balances of \$65,000 and \$35,000, respectively. If Morr, with the consent of Stills, acquired one-half of Lee's interest for \$40,000, for what amount would Morr's capital account be credited?

- A. \$32,500
- B. \$50,000
- C. \$40,000
- D. \$72,500

14. Abel is hired as a manager in Sheraton Addis hotel with basic salary of Birr 2,800 and medical allowance of birr 500 per month and desert allowance of Birr 751 per month. Abel is worried in calculating the income tax and pension amount. So, as an accountant what do you suggest are the amounts, respectively?

- A. Birr 196 & Birr 652.8
- B. Birr 65.50 & Birr 308
- C. Birr 652.8 & Birr 196
- D. Birr 802.8 & Birr 196

15. Treasury stock shares are:

- A. Shared which are permitted by the board of director
- B. Part of the total outstanding shares but not part of the total issued shares of a corporation
- C. Unissued shares that are held by the treasurer of the corporation
- D. Issued shares that have been reacquired by a corporation.

16. The first steps of liquidation process of partnership is

- A. Pay liability of the partnership
- B. Distribute gain or loss from realization of asset
- C. Sell the partnership assets
- D. Distribute the remaining cash to partners

17. Assume that partners Muday, Mekdi, and Hiwot have capital balances of Br. 25,000, Br.15, 000, and Br. 10,000, respectively. Muday and Mekdi agree to buy out Hiwot's



interest. Each of them agrees to pay Hiwot Br. 8,000 in exchange for one half of Hiwot's total interest of Br.10, 000. then which one of the following correct about the journal entries?

- A. Hiwot, Capital10,000
Muday, Capital5,000
Mekdi, Capital5,000
- B. Hiwot, Capital25,000
Muday, Capital20,000
Mekdi, Capital5,000
- C. Hiwot, Capital10,000
Muday, Capital5,000
Mekdi, Capital20,000
- D. Hiwot, Capital10,000
Muday, Capital15,000
Mekdi, Capital35,000

18. Which of the following statements about fair value principles is true?

- A. Fair value is a market-based measures
- B. Fair value is generally less relevant than historical cost
- C. Measurement based on fair value increase the objective of in financial reporting
- D. IFRS requires the uses of fair value for non-financial assets and liability

19. With regarded to fair value which of the following measurements is considered the least objective?

- A. Unobservable inputs
- B. Inputs that are observable either directly or through collaboration with observable
- C. Observable inputs that reflect quoted price for identical assets and liabilities
- D. For purpose of fair value all of the measures are considered quality objectives

20. A cash-generating unit is?

- A. The smallest group of assets that generates independent cash flows from continuing use

- B. A reporting segments
 - C. Any group of assets that has independent cash flows
 - D. Any group of assets which forms part of the management reporting structure
21. If an entity wishes to change from accost model to fair value model under IAS 40 investment property, when may it do so?
- A. When the board of directors approves a change
 - B. When the value of the asset will improve a change
 - C. When a change will result in a more appropriate presentation
 - D. When the market for these properties is fluctuation
22. All are rights and privileges of common stockholders except:
- A. Right to purchase additional shares (preemptive right)
 - B. Right to elect board of directors, and control the corporation
 - C. Right to be elected as board of directors
 - D. Earning preferences
23. A Plant asset with accost of birr 900,000 and accumulated depreciation of birr 800,000 is sold for birr 80,000. What is the amount of gain or loss on the disposal of the plant asset?
- A. 20,000 loss
 - B. 80,000 loss
 - C. 80,000 gain
 - D. 20,000 gain
24. On January 1, 2020 machine with a cost of birr 20,000.00 was purchased according to the company policy machinery is depreciated at 20% per annum using straight line method. The tax allowance for machinery is 50% according to the tax authority and its tax rate is 28% then what is the differed tax expense of the company?
- A. Differed tax liability of birr1,680.00
 - B. Differed tax asset of birr 1,680.00
 - C. Differed tax asset of birr 1,890.00
 - D. Differed tax liability of birr 1,890.00
25. The party that has an obligation under an insurance contract to compensate a policy holder if an insured event occur is considered to be:

- A. Insurer
- B. Insured
- C. Policy Holders
- D. Insured event

26. Biological asset should be measured on initial recognition and at subsequent reporting date at

- A. Fair value
- B. Fair value less cost to sell
- C. Lower of costs and net reliable value
- D. Cost less any accumulated depreciation and any accumulated impairment loss

27. Assume that ABC company provides 400 shares to employees based on the share-based payment on January 1, 2015. Suppose the company use intrinsic value method and the market value of the share is birr 1,200.00 and the option price of the share is birr 1,000.00 then what is the value of the share that provides to employees based on share-based payment.

- A. 4,000.00 birr
- B. 8,000.00 birr
- C. 50,000.00 birr
- D. 80,000.00 birr

28. In which Long-Term investments in equity securities categories, an investor has a high controlling interest.

- A. Holdings less than 20%
- B. Holding greater than 50%
- C. Holdings between 20% & 50%
- D. Holding less than 10%

29. How much paid in capital in excess of stated value in case of a company issued 2,000 of the shares with a 5 stated value at 15 per share for cash?

- A. Birr 30,000
- B. Birr 15,000
- C. Birr 20,000
- D. Birr 10,000

30. Which one of the following methods of investment that used significance influence investors?
- A. Equity method
 - B. Fair value method
 - C. Cost method
 - D. Market value
31. Which one of the following methods of investment that used investors that hold greater than 50% of investee?
- A. Equity method
 - B. Fair value method
 - C. Consolidate method
 - D. Market value
32. Assume that AU University use the indirect method to depict cash flows indirect where if all land and building purchased with cash would be classified on the statement of cash flows.
- A. Operating Activities Section
 - B. Investing Activity Section
 - C. Financing Activity Section
 - D. Does not represent a Cash Flow
33. Biological asset should be measured on initial recognition and at subsequent reporting date
- A. Fair value
 - B. Fair value less cost to sell
 - C. Lower of costs and net reliable value
 - D. Cost less any accumulated depreciation and accumulated impairment loss
34. Which one of the following is correct about intangible asset of the company?
- A. They are possessed in physically
 - B. It is tangible asset of the company
 - C. It cannot possess physically
 - D. It is current asset of the company
35. Foreign exchange transaction involves monetary transactions
- A. Among residents of the same country

- B. Between residents of two countries only
 - C. Between residents of two or more countries
 - D. Among residents of at least three countries
36. If the dollar depreciates relative to the Ethiopian birr
- A. Ethiopian chocolate will become more expensive in the United States
 - B. American computers will become less expensive in Ethiopia
 - C. Ethiopian chocolate will become cheaper in the United States
 - D. American computers will become cheaper in Ethiopia
37. Following the accounting concept of a business combination a business combination occurs when a company acquires an equity interest in another entity and has
- A. At least 20% ownership in the entity
 - B. More than 50% ownership in the entity
 - C. 100% ownership in the entity
 - D. Control over the entity, irrespective of the percentage owned
38. It is a statutory type of business combination which occurs when two or more companies merge in to one single entity which shall be the consolidated company:
- A. Merger
 - B. Consolidation
 - C. Stock acquisition
 - D. Mutual combination
39. The primary currency of the foreign entity operating environments is also known as
- A. Translation currency
 - B. Functional currency
 - C. Reporting currency
 - D. Presentation currency
40. When company A and company B are combined together and both of them are dissolved and the new company C is formed. Such type of combination is called
- A. Statutory consolidation
 - B. Statutory merger
 - C. Acquisition of common stock
 - D. Acquisition of assets

41. IFRS 13 does not specify the unit of account for measuring fair value. This means that it is left to the individual standard to determine the unit of account for fair value measurement. What is meant by the 'unit of account'?
- A. The value of the asset or liability
 - B. The collection of assets or liabilities of which these elements form part
 - C. The market value of the asset or liability
 - D. The single asset or liability or group of assets or liabilities
42. When allocating an impairment loss, such a loss should reduce the carrying amount of which asset first?
- A. Goodwill
 - B. Leases
 - C. Property, plant and equipment
 - D. Intangible assets
43. When deciding upon the discount rate to be used, which factors should not be taken into account?
- A. Risks specific to the asset which future cash flow estimates have not been adjusted
 - B. Risks which relate to the asset for which future cash flow estimates have been adjusted
 - C. Corporate lending rates
 - D. Cost of capital

Part II: Cost and Managerial Accounting 12 Multiple Choice Questions

Instruction: This part includes 12 multiple choice questions and you are required to Choose the best answer from the given alternatives.

44. A cost that does not change in proportion to changes in production volume is called which of the following?
- A. Fixed cost
 - B. Controllable cost
 - C. Opportunity cost
 - D. Variable cost

45. Salaries of sales personnel who are paid on a commission only basis are which type of cost?
- A. Fixed
 - B. Variable
 - C. Mixed
 - D. Step-wise
46. A firm had beginning finished goods inventory of \$7,500, ending finished goods inventory of \$10,000, and a cost of goods sold of \$40,000. What was the cost of goods manufactured?
- A. \$32,500
 - B. \$37,500
 - C. \$40,000
 - D. \$42,500
47. Transferred in costs are
- A. Cost incurred to complete the work of the previous department.
 - B. Costs of direct material entered in the production process
 - C. Costs which are partially completed as to the previous department
 - D. Costs which are transferred from the previous department
48. Activity based costing is applied whenever: -
- A. Overhead costs constitute an insignificant portion of total costs
 - B. Product lines are the same in volume and manufacturing complexity.
 - C. The manufacturing process or number of products has changed significant MOH
 - D. No conditions are needed
49. The process of adding the cost of actual direct material, Actual direct labor and applied manufacturing overhead to work in process account is:-
- A. Standard costing
 - B. Prime costing
 - C. Normal costing
 - D. Actual costing
50. If products are alike, then for costing purposes

- A. A simple costing system will yield accurate cost numbers
 - B. An activity-based costing system should be used
 - C. Multiple indirect-cost rates should be used
 - D. Varying demands will be placed on resources
 - E. All of the above
51. The selling price per unit less the variable cost per unit is?
- A. Fixed cost per unit
 - B. Gross margin
 - C. Contribution margin per unit
 - D. Margin of safety
52. One of the following is Optimal Use of Scarce Resources Decisions.
- A. Special order decision
 - B. Product line decision
 - C. Product mix decision
 - D. Out sourcing decision
53. Expected cash collection pattern is 60% in the month of sale, 25% in the following month, and 10% in the second following month. Five percent of the credit sales are uncollectible. How much is expected to be collected in January?

Sales Budget

Month	October	November	December	January
Credit Sales	\$40,000	\$50,000	\$60,000	\$35,000

- A. \$52,500
 - B. \$40,000
 - C. \$41,000
 - D. \$32,500
54. The actual materials price (AP) was \$4.20, the actual quantity (AQ) of material was 26,700 units, and the total materials price variance (PV) was \$3,204, unfavorable. What was the standard materials price?
- A. \$4.08
 - B. \$4.32

- C. \$3.96
- D. \$4.44

55. Which formula may be used to compute the labor rate variance?

- A. $(\text{Actual hours} - \text{Standard hours}) \times \text{Actual rate}$
- B. $(\text{Actual rate} - \text{Standard rate}) \times \text{Actual hours}$
- C. $(\text{Actual hours} - \text{Standard rate}) \times \text{Actual hours}$
- D. $(\text{Actual rate} - \text{Standard rate}) \times \text{Standard hours}$

Part III: Finance and Investment **19** Multiple Choice Questions

Instruction: This part includes **19** multiple choice questions and you are required to Choose the best answer from the given alternatives.

56. Which of the following is **not true** about concepts financial management?

- A. It is one of major area of study under finance
- B. It deals with decisions made by external users of financial information
- C. It is sometimes called corporate finance
- D. It is decision making process concerned with planning for raising and utilizing funds

57. A 3% return on investment of a given company refers

- A. The company earned 3 cents of profits for each birr in assets
- B. The company generated 3 cents in profits for every one birr in net sales
- C. The company earned 3 cents of profit for each birr in owners' equity
- D. The company distributed Br. 3 per share in dividends

58. Companies/individuals lend/invest certain amount of money and expect amount above what they lent/invested after some period of time to signify that

- A. Profit should be earned
- B. A company is growing
- C. The same amount of today is better than that of its future amount
- D. Money's purchasing power is increasing

59. Which of the followings is not component of weighted average cost of capital?

- A. Cost of debt

- B. Cost of preferred stock
 - C. Cost of common stock
 - D. Cost of fixed assets like Equipment and machineries
60. The probability or likelihood that actual results deviate from expected in investment is referred as
- A. Return
 - B. Loss
 - C. Risk
 - D. Expected rate of return
61. Of the following capital budgeting analytical tool/criteria, which of the following is different from others?
- A. Accounting Rate of Return (ARR)
 - B. Net Present Value (NPV)
 - C. Internal Rate of Return (IRR)
 - D. Profitability Index
62. The use of fixed financing costs such as interest expense on debts and preferred dividends to finance the firm are examples of
- A. Financial Leverage
 - B. Operating leverage
 - C. Cost of capital
 - D. Return on investment
63. Types of cash dividend which is unusual and will not be repeated in its nature is referred as
- A. Regular cash dividends
 - B. Extra cash dividends
 - C. Special cash dividends
 - D. Liquidating dividends
64. The excess of current assets over the current liability of the concern during a particular period
- A. Gross working capital
 - B. Net working capital

- C. Cost of capital
D. Financial Leverage
65. All of the followings are examples of short-term spontaneous financing except
- A. Purchase on account of raw materials
 - B. Accrued wages
 - C. Accrued taxes
 - D. Bank Loans
66. Which of the following is considered as limitation of pro forma statements in financial forecasting?
- A. They make explicit forecasts of such items as profit, dividends, and financing needs
 - B. Corporate managers can evaluate the extent to which corporate goals were attained.
 - C. Help to isolate those aspects of performance that deviated significantly from corporate plans
 - D. Many of expense and sales are forecasted based on their historical relationships that could be altered with different factors in the future
67. When the commercial banks deposit interest rate is currently greater than debt instrument interest rates the effect of these condition would be:
- A. Increase opportunity cost and no effect on the interest rate.
 - B. Increase opportunity cost and decrease interest rate.
 - C. No effect on both opportunity cost and interest rate.
 - D. Decrease opportunity cost and increase interest rate.
68. A rate of return paid by a borrower of funds to a lender of funds.
- A. Interest Rate
 - B. Intrinsic Rate
 - C. Inflation Rate
 - D. Deflation Rate
69. According to _____, the rate of interest is determined by the interaction of savings and investment.
- A. Neo-classical Theory

- B. Classical Theory
- C. Liquidity Theory
- D. Loanable Funds Theory

70. When the government sells security:

- A. Interest rate will increase and loanable supply decrease.
- B. Interest rate will decrease and loanable supply decrease.
- C. Interest rate will increase and loanable supply increase.
- D. Interest rate will decrease and loanable supply increase.

71. Market price is greater than fair value, financial instrument is

- A. Undervalued
- B. Overvalued
- C. Fairly valued
- D. No Valuation

72. When the government buys more securities, the level of interest rate and the loan supply:

- A. Both will increase
- B. Increase in interest rate and decrease in loan supply
- C. Decrease in interest rate and increase loan supply
- D. Both will decrease

73. Which one of the following factors that affect interest rates determination?

- A. Inflation
- B. Supply and Demand
- C. Deflation
- D. Government

74. A contractual agreement by the borrower to pay the holder of the instrument fixed Birr amounts at regular intervals until a specified date.

- A. Debt Instrument
- B. Equity Instrument
- C. Stocks
- D. Retained Earnings

Part IV: Auditing and Assurance Services **12** Multiple Choice Questions

Instruction: This part includes **12** multiple choice questions and you are required to Choose the best answer from the given alternatives.

75. In operational audit the auditor studies businesses operations and makes recommendations about all of the following except.
- A. Economic and efficient use of resources
 - B. Effective achievement of business objectives
 - C. The fairness of the financial statements
 - D. Compliance with company policies
76. Exercise of due professional care requires that an auditor
- A. Use error-free judgment
 - B. Consider the internal control structure, including tests of controls.
 - C. Critically review the work done at every level of engagement.
 - D. Examine all corroborating evidence available.
77. A list of audit procedures the auditors need to perform to produce evidence for good audit decision is
- A. Audit planning
 - B. Audit program
 - C. Audit strategies
 - D. Audit engagement
78. A written understanding between the auditor and the client concerning the auditor's responsibility for the discovery of illegal acts is usually set forth in a(an)
- A. Management letter
 - B. Letter of audit inquiry
 - C. Client representation letter
 - D. Engagement letter
79. In the consideration of internal control, the effectiveness of the design of controls is tested by:
- A. Flowcharts.
 - B. Tests of controls.
 - C. Substantive tests.

D. Decision tables.

80. The effectiveness of controls is not generally tested by:

- A. Inspection of documents and reports.
- B. Performance of analytical procedures.
- C. Observation of the application of accounting policies and procedures.
- D. Inquiries of appropriate client personnel.

81. The introductory paragraph of the standard audit report states that the financial statements are:

- A. the responsibility of the auditor.
- B. the responsibility of management.
- C. the joint responsibility of management and the auditor.
- D. The use of audit procedure

82. Value-weighted selection in which sample size, selection and evaluation results in a conclusion in monetary amounts, is known as:

- A. Haphazard sampling
- B. Monetary Unit Sampling
- C. Stratified Sampling
- D. Interval sampling

83. A client's physical count of inventories was higher than the inventory quantities per the perpetual records. This situation could be the results of failure to record _____.

- A. Sales
- B. Sales Discounts
- C. Cash receipts from sale of inventories
- D. Purchases

84. An auditor most likely would extend substantive tests of payroll when

- A. Payroll is extensively audited by the state government.
- B. Payroll expense is moderately higher than the prior years.
- C. Payroll significantly affects the valuation of Inventory.
- D. Employees complain to management about too much overtime

85. A file is prepared directly from the accounts payable master file.

- A. Accounts Payable Mater File

- B. Accounts Payable Trial Balance
- C. Perpetual Inventory Master File
- D. Cash Disbursements Transaction File

86. The cycle to be tested in the audit of internally transfer assets and costs is.

- A. Acquisition and payment cycle
- B. Sales and collection cycle
- C. Inventory and warehousing cycle
- D. Payroll and personnel cycle

Part V: Public Finance and Public Sector Accounting 14 Multiple Choice Questions

Instruction: This part includes 14 multiple choice questions and you are required to Choose the best answer from the given alternatives.

87. The two main goals of public finance in developed countries are

- A. Economic Stability and maintenance of full employment
- B. Job opportunities and rapid economic development.
- C. Capital creation and investment
- D. Revenue and expenditure management

88. One of the following methods of accounting is not allowed to compute taxable business income under Ethiopian tax law

- A. Accrual basis of accounting
- B. Weight average method of inventory costing
- C. Percentage of completion method for long term contract
- D. First in first out method of inventory costing

89. One of the following is incorrectly matched

- A. Interest expense partially deductible expense
- B. Intangible assets amortized by using diminishing value method
- C. Recoverable loss nondeductible expenses
- D. Bad debt expenses deductible based on condition

90. Which of the following is a tax to be shifted from one person to another person?

- A. Employment income tax
- B. Value Added Tax
- C. Business Income Tax
- D. Rental Income Tax

91. All of the following are indirect taxes except

- A. VAT
- B. Excise duty
- C. Customs duty
- D. Property tax

92. Splitting transaction to avoid withhold income tax on payments

- A. Tax planning
- B. Tax avoidance
- C. Tax evasion
- D. Tax saving

93. What is the primary reason that governmental entities use fund accounting?

- A. Fund accounting is required by law.
- B. Fund accounting is required by GAAP.
- C. Fund accounting promotes control and accountability over restricted resources.
- D. Fund accounting promotes better control over operating activities.

94. Which fund is proprietary fund, used by governmental units to account for services provided to the whole public on users charge basis.

- A. General fund
- B. Permanent fund
- C. Enterprise fund
- D. Debt Service Fund

95. When a fax machine purchased by a governmental unit is received, it should be recorded in the general fund as a(n)

- A. Expense
- B. Encumbrance
- C. Expenditure
- D. General Capital Asset

96. The City of San Jose built a new city hall and financed construction by issuing bonds due in installments over the **next 30 years**. The bond principal and interest will be paid by a special tax levied on property in the City. The revenue received from this special tax should be accounted for in which of the following funds?
- A. General fund.
 - B. Internal service fund.
 - C. Capital project fund.
 - D. Debt service fund
97. Basis of accounting determines which of the following?
- A. When transactions and events are recognized.
 - B. What transactions and events will be reported.
 - C. Where transactions and events will be reported.
 - D. Why transactions and events will be reported.
98. Which of the following statements is true?
- A. Governments may engage in activities similar to activities engaged in by for-profit entities.
 - B. There are a limited number of different types of governments.
 - C. All governmental entities engage in the same activities.
 - D. Managers may have a long-term focus and thereby sacrifice the short-term liquidity of the entity.
99. Which of the following sections is NOT required in the Comprehensive Annual Financial Report of a City?
- A. Financial section.
 - B. Introductory section.
 - C. Statistical section.
 - D. Historical section.
100. Which one of the following is/are not objective of financial reports for not-for-profit organizations?
- A. Making profit allocation decisions.
 - B. Assessing services and ability to provide services.
 - C. Assessing management stewardship and performance.
 - D. Assessing economic resources

Answer Key

1. A	11. C	21. C	31. C	41. D	51. C	61. A	71. B	81. C	91. D
2. D	12. C	22. D	32. B	42. A	52. C	62. B	72. C	82. B	92. B
3. C	13. A	23. A	33. B	43. A	53. C	63. C	73. C	83. A	93. C
4. B	14. C	24. A	34. C	44. A	54. A	64. B	74. A	84. C	94. C
5. B	15. D	25. A	35. B	45. B	55. B	65. D	75. C	85. B	95. C
6. B	16. C	26. B	36. B	46. D	56. B	66. D	76. C	86. C	96. D
7. A	17. A	27. D	37. D	47. D	57. A	67. A	77. B	87. A	97. A
8. A	18. A	28. B	38. B	48. C	58. C	68. A	78. D	88. D	98. A
9. A	19. D	29. C	39. B	49. C	59. D	69. B	79. B	89. B	99. D
10. C	20. A	30. A	40. A	50. A	60. C	70. A	80. B	90. B	100. A